



Britannia Consolidated Q1FY24 results were slightly below expectations.

- Revenue increased by 8.4% YoY to Rs 40107mn aided ~9% increase in packs
- EBIDTA margins improved significantly** to 17.2% from 13.5% on a YoY basis aided by gross margins expansion of 500bps. However on a QoQ basis gross margins dropped by ~300 bps due price corrective actions taken by the management to fight local regional competition and maintain market shares.
- EBIDTA on absolute basis grew by 37.6% YoY to Rs 6889mn
- Reported PAT grew by 35.7% YoY to Rs 4555mn
- PAT (adjusted-owners share) grew by 35.6% YoY to Rs 4576mn

Outlook:

- In-general the markets are a bit sluggish in Rural as well as Urban
- Modern Trade and E-Commerce robust but general trade slow
- As commodity prices have cooled off, competition from local players have increased.
- Necessary Price strategy will be taken to maintain market-share
- Volume growth expected to be better in FY24
- Regional Specific strategy, played very well to maintain market shares
- Endeavour is to maintain EBIDTA margins in the similar range of Q1FY24
- ICD's at Rs 7.6bn

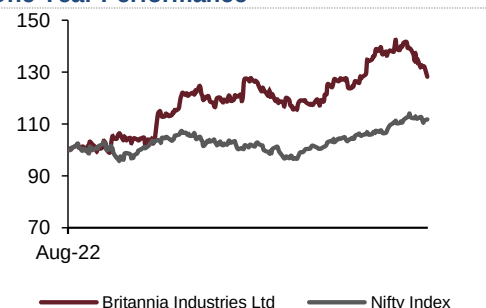
Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	5,100	10

Market data

Current price	Rs	4,645
Market Cap (Rs.Bn)	(Rs Bn)	1,122
Market Cap (US\$ Mn)	(US\$ Mn)	13,543
Face Value	Rs	1
52 Weeks High/Low	Rs	5270.35 / 3555
Average Daily Volume	('000)	412
BSE Code		500825
Bloomberg		BRIT.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Jun-23	Mar-23
Promoters	50.55	50.55
Public	49.45	49.45
Total	100	100

Source: BSE

Financial Summary

Y/E Mar (Rs mn)	FY21	FY22	FY23	FY24E	FY25E
Net sales	131,361	141,363	163,005	176,788	193,993
EBIDTA	25,092	22,015	28,309	31,047	35,102
Margins	19.1	15.6	17.4	17.6	18.1
PAT (adj)	18,643	15,255	19,628	21,535	24,591
growth (%)	31.7	(18.2)	28.7	9.7	14.2
EPS	77.4	63.3	81.5	89.4	102.1
P/E (x)	60.0	73.4	57.0	52.0	45.5
P/B (x)	31.5	43.7	31.7	28.3	21.6
EV/EBITDA (x)	44.3	51.1	39.4	35.8	31.6
RoE (%)	52.6	59.6	55.5	54.5	47.4
ROCE (%)	40.6	39.6	39.8	43.0	43.4

Source: Dalal and Broacha

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Conference Call KTA's

Britannia Q1FY24 Concal KTA's	
VOLUME Growth:	Packets growth @ 9% Volume growth Flat
PRICE HIKE Taken:	-ve 1.8%
Rural Growth	
MARKET SHARE:	stable gap with 2nd largest player widen
	local players have gained
Demand:	Focused States 2.2x growth v/s Rest of India
Business Mix:	~77% Biscuits and 23% Non Biscuits (as per Q4FY24 call)
INFLATION	no major concerns apart from wheat, however some forward covers taken
1.Food Commodity inflation:	
Inflation: Wheat	Flour +1% QoQ +3% YoY
Inflation: Industrial Fuel	NA
Inflation: Palm Oil	-4% QoQ -21% YoY
Inflation Milk:	NA
Inflation Sugar:	+2% QoQ +1% YoY
Laminates:	-3% QoQ -18% YoY
Corrugated Boxes	-4% QoQ -25% YoY
OTHER COSTS	
1. Ad-Spends & Sales Promotion:	have come back to normalised levels; was very low in FY21, now ex of promotion and trade spends at 4.2%
2. Cost Efficiency Savings	Cost Efficiency target 7x of FY14

Conference Call KTA's continue

DISTRIBUTION:	
1.Rural Dealers:	March-23 @28K June-23@ 28K and scaling further
2.Direct Reach in lakhs	26.7 March-23 v/s 26.8 June-23
PRODUCTS:	
3.New Product Contribution@:	Overall Contribution from Innovative Products stood at 4-5%
4.Innovations:	Jim Jam Pops: launched in West & MT Multigrain Rusk in West and South 10 Rs cheese sachet being introduced

Conference Call KTA's continue

ADJACENT BUSINESS	
1. Bakery	Cakes: moving in the right direction in-terms of growth Launched: Butter Rusk in East, Milk Rusk in Kerela Bread – Continues profitable growth trajectory
2. Dairy	Innovation contribution: >10% Winking Cow: witnessed robust season transitioned to aseptic PET bottles which is expensive but better quality Dairy in general witnessed high double digit growth PET Milkshakes sourced from own new factory Supply of SMP, SCM & Butter for captive consumption in Bakery from our Dairy Plant.
3. International	M-East & Africa high-double digit with improved margins Double-digit profitable growth in Rest of International, led by America Nepal continues high-double digit growth & expand margins Egypt high-double digit growths continue while Kenya stabilizes

Conference Call KTA's continue

CAPEX:	@ Rs 4bn for FY24, Dairy-related expansion at Ranjangaon, and some scale up in Bihar and Tamil Nadu
Other KTA's	Consumer Promotion: was mix of products and grammage as local competition has intensified
	Inflation was sharper for Britannia as last year Britannia was better covered hence the natural base effect
	BEL-JV production started
	Margin movement between Q4FY23 to Q1FY24 was 3.3% as follows : Pricing Reversal -ve 1.8% Fiscal Benefit -ve 2.4%, Employee Cost falt, Decrease in other Expenses +1.2%
Outlook:	remain vigilant of the competitive pricing actions, will maintain current levels MARGINS
	monitoring stock-price situation of commodities
	Focus in Market Share growth with necessary price actions
	well-focused on its regionalised strategy for growth by introducing specific products at competitive prices

Quarterly Financials

Particulars (Rs Mns)	Q1FY24	Q1FY23	Growth	Q4FY23	Growth
Consolidated					
Net Sales	39,698.4	36,538.0	8.6%	38,920.2	2.0%
Other Op Income	408.6	471.6	-13.4%	1,311.6	-68.8%
Total OP Income	40,107.0	37,009.6	8.4%	40,231.8	-0.3%
Add: O. Income	539.3	555.0	-2.8%	563.7	-4.3%
Total Income	40,646.3	37,564.6	8.2%	40,795.5	-0.4%
RAW MATERIALS	(23,286.8)	(23,361.3)	-0.3%	(22,159.2)	5.1%
Employee Cost	(1,883.4)	(1,469.9)	28.1%	(1,705.8)	10.4%
O. Exps	(8,048.0)	(7,171.0)	12.2%	(8,357.9)	-3.7%
EBIDTA	7,428.1	5,562.4	33.5%	8,572.6	-13.4%
EBIDTA Less O. Inc	6,888.8	5,007.4	37.6%	8,008.9	-14.0%
Less Int	(530.5)	(419.7)	26.4%	(348.6)	52.2%
Less Depn	(707.6)	(509.6)	38.9%	(653.3)	8.3%
<i>Less Exceptional</i>	-	-		-	
PBT Before Exceptional	6,190.0	4,633.1	33.6%	7,570.7	-18.2%
PBT	6,190.0	4,633.1	33.6%	7,570.7	-18.2%
<i>Extraordinary Net</i>					
Share of Profit/Loss from Associate	29.9	(1.5)	-2093.3%	40.3	-25.8%
Minority Interest	-	-		-	
PAT Reportd	4,554.5	3,357.4	35.7%	5,576.0	-18.3%
PAT Adjusted Owner Share	4,575.5	3,374.4	35.6%	5,586.6	-18.1%
Equity	240.9	240.9		240.9	
EPS (Adjusted PAT)	19.0	14.0		23.2	
OPM	17.2%	13.5%		19.9%	
NPM	11.2%	8.9%		13.7%	
Tax Rate	-26.9%	-27.5%		-26.9%	
% to Operating Income					
RAW MATERIALS	-58.1%	-63.1%		-55.1%	
Employee Cost	-4.7%	-4.0%		-4.2%	
O. Exps	-20.1%	-19.4%		-20.8%	
Total	-82.8%	-86.5%		-80.1%	

Source: Dalal & Broacha Research, Company

Valuation

Britannia's management have time and again proved themselves generating excellent results. The company product innovation pipeline remains strong at 4-5% contribution to overall revenue. Region specific strategy in-terms of production introduction, setting up factories and increasing distribution have always aided Britannia's growth on one end and efficiencies on another.

Going forward the management is confident of maintaining the EBITDA margins at current levels, in - terms of commodity prices only wheat could see some pressure since the current years production is slightly low however for the next 3-4 months the management has already taken forward cover and remain confident of mitigating commodity price increase for FY24.

We have revised our numbers post concal.

At CMP of Rs 4645 Britannia trades at 52x FY23e EPS of Rs 89.4 and 46x FY24e EPS of Rs 102. We maintain BUY ON DIPS with a target price of Rs 5,100 (i.e.50x FY25 earnings).

Financials

P&L (Rs mn)	FY21	FY22	FY23	FY24E	FY25E
Net Operating Income	131,361.4	141,362.6	163,005.5	176,788.2	193,993.3
Raw materials	(76,261.0)	(87,603.0)	(95,913.0)	(103,602.5)	(112,710.1)
Employee costs	(5,273.8)	(5,422.6)	(6,583.8)	(7,604.3)	(8,516.8)
Other Expenses	(24,734.3)	(26,321.9)	(32,199.6)	(34,534.1)	(37,663.9)
Cost of sales	(106,269.1)	(119,347.5)	(134,696.4)	(145,740.9)	(158,890.9)
Operating Profit	25,092.3	22,015.1	28,309.1	31,047.3	35,102.5
Depreciation	(1,978.5)	(2,005.4)	(2,259.1)	(2,796.4)	(2,995.8)
PBIT	23,113.8	20,009.7	26,050.0	28,250.9	32,106.7
Other income	3,129.3	2,228.3	2,158.6	2,495.8	2,487.8
Interest	(1,109.0)	(1,442.9)	(1,691.0)	(2,120.1)	(1,892.7)
Profit before tax	25,134.1	20,795.1	26,517.6	28,626.6	32,701.8
Extraordinary Items / Exceptional	-	-	3,756.0	-	-
Profit before tax (post Excep)	25,134.1	20,795.1	30,273.6	28,626.6	32,701.8
Provision for tax	(6,630.2)	(5,623.5)	(7,164.5)	(7,205.3)	(8,231.0)
Reported PAT	18,503.9	15,171.6	23,109.1	21,421.3	24,470.7
Share of Pft and Loss of Associates and Minority Int	141.2	86.4	108.6	114.0	120.0
Adjusted PAT	18,643.5	15,255.3	19,627.7	21,535.3	24,590.7

Balance Sheet	FY21	FY22	FY23	FY24E	FY25E
Equity capital	240.9	240.9	240.9	240.9	240.9
Reserves	35,235.7	25,340.1	35,101.8	39,292.3	51,587.7
Net worth	35,476.6	25,581.0	35,342.7	39,533.2	51,828.6
Def. Tax Liab.+Minority	363.4	275.0	302.3	356.8	411.3
Secured loans	7,471.5	7,069.9	15,518.0	13,518.0	11,518.0
Unsecured loans	13,571.5	17,585.5	14,287.1	12,287.1	10,287.1
Total debt	21,043.0	24,655.4	29,805.1	25,805.1	21,805.1
CAPITAL EMPLOYED	56,883.0	50,511.4	65,450.1	65,695.1	74,045.0
Gross block	25,111.8	26,682.7	38,076.4	42,076.4	45,076.4
Accumulated depreciati	(8,541.3)	(10,546.7)	(12,805.8)	(15,602.2)	(18,598.0)
Net block	16,570.5	16,136.0	25,270.6	26,474.2	26,478.4
Capital W IP	1,165.2	5,356.8	1,050.0	1,050.0	1,050.0
Total fixed assets	17,735.7	21,492.8	26,320.6	27,524.2	27,528.4
Goodwill	1,359.0	1,396.1	1,281.6	1,281.6	1,281.6
Investments	27,806.9	17,623.7	33,242.4	33,242.4	33,242.4
Inventories	10,914.9	13,674.9	11,932.6	13,077.5	14,350.2
Sundry debtors	2,572.7	3,319.3	3,289.4	3,567.5	3,914.7
Cash & bank	2,113.4	1,849.0	1,979.8	1,844.4	9,882.4
Loans & advances	9,995.0	7,980.0	7,100.0	7,100.0	7,100.0
Other current assets	7,493.6	7,302.8	7,808.3	8,354.9	8,939.7
Sundry creditors	(13,147.5)	(12,852.2)	(14,488.1)	(16,462.9)	(17,910.1)
O. Current Liabilities	(6,095.7)	(6,932.5)	(8,180.0)	(8,998.0)	(9,447.9)
Provisions	(3,874.7)	(4,851.1)	(5,390.3)	(5,390.3)	(5,390.3)
Working capital	9,971.7	9,490.2	4,051.7	3,093.1	11,438.8
Deferred Tax Assets	9.7	508.6	553.8	553.8	553.8
Miscellaneous exp.	-	-	-	-	-
CAPITAL DEPLOYED	56,883.0	50,511.4	65,450.1	65,695.1	74,045.0

Cash Flow St. (Rs. mn)	FY21	FY22	FY23	FY24E	FY25E
Net Profit	18,639.0	15,248.2	23,217.7	21,535.3	24,590.7
Add: Dep. & Amort.	1,978.5	2,005.4	2,259.1	2,796.4	2,995.8
Cash profits	20,617.5	17,253.6	25,476.8	24,331.7	27,586.5
(Inc)/Dec in					
-Sundry debtors	630.9	(746.6)	29.9	(278.1)	(347.2)
-Inventories	(3,505.3)	(2,760.0)	1,742.3	(1,144.9)	(1,272.7)
-Loans/advances	786.8	2,205.8	374.5	(546.6)	(584.8)
-Sundry creditors	1,984.7	(295.3)	1,635.9	1,974.8	1,447.2
-Others	2,363.1	1,813.2	1,786.7	818.0	449.9
Change in working capital	2,260.2	217.1	5,569.3	823.2	(307.6)
CF from Oper. activities	22,877.7	17,470.7	31,046.1	25,154.9	27,278.9
CF from Inv. activities	(770.5)	4,383.6	(22,591.1)	(4,000.0)	(3,000.0)
CF from Fin. activities	(21,222.3)	(22,118.7)	(8,324.2)	(21,290.3)	(16,240.8)
Cash generated/utilised	884.9	(264.4)	130.8	(135.4)	8,038.0
Cash at start of the year	1,228.5	2,113.4	1,849.0	1,979.8	1,844.4
Cash at end of the year	2,113.4	1,849.0	1,979.8	1,844.4	9,882.4
Ratios	FY21	FY22	FY23	FY24E	FY25E
OPM	19.1	15.6	17.4	17.6	18.1
NPM	13.9	10.6	11.9	12.0	12.5
Tax rate	(26.4)	(27.0)	(23.7)	(25.2)	(25.2)
Growth Ratios (%)					
Net Sales	13.2	7.6	15.3	8.5	9.7
Operating Profit	36.1	(12.3)	28.6	9.7	13.1
PAT	31.7	(18.2)	28.7	9.7	14.2
Per Share (Rs.)					
Net Earnings (EPS)	77.4	63.3	81.5	89.4	102.1
Cash Earnings (CPS)	86	72	106	101	115
Dividend	118.0	74.5	56.5	72.0	51.0
Book Value	147.3	106.2	146.7	164.1	215.1
Free Cash Flow	91.77	90.72	35.10	87.82	100.78
Valuation Ratios					
P/E(x)	60.0	73.4	57.0	52.0	45.5
P/B(x)	31.5	43.7	31.7	28.3	21.6
EV/EBIDTA(x)	44.3	51.1	39.4	35.8	31.6
Div. Yield(%)	2.5	1.6	1.2	1.6	1.1
FCF Yield(%)	2.0	2.0	0.8	1.9	2.2
Return Ratios (%)					
ROE	52.6	59.6	55.5	54.5	47.4
ROCE	40.6	39.6	39.8	43.0	43.4

Source: Dalal & Broacha Research, Company

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